



“Investors should remain calm during bear markets and adhere to a disciplined rebalancing strategy. Time in the market and not timing the market can lead to greater wealth creation”

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“Mid- and small-cap funds can play an important role in long-term wealth creation... However, this higher return potential also comes with higher volatility and risk”

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seven years, they would have never encountered negative returns.

Therefore, investors should remain calm during bear markets and adhere to a disciplined rebalancing strategy. Time in the market and not timing the market can lead to greater wealth creation.

INVESTMENT CLARITY

When selecting funds, it is imperative to move beyond headline returns/recent one-year performance. Metrics such as information ratio and downside capture provide deeper insights into a fund's ability to generate risk-adjusted returns and protect capital during drawdowns.

“Additionally, rolling return analysis offers a more robust view of performance consistency and volatility across market cycles, as opposed to point-to-point returns, which can be misleading,” says Tiwari.

Apart from performance data, Sebi has mandated disclosure of various parameters for investors to make informed decisions, which are as follows:

● **STRESS TEST DATA:** “Stress test liquidity data equips investors with practical insights into how easily and quickly their investment can be converted to cash under stressed market conditions,” says Basu.

So, the idea is to measure how quickly these funds can convert their assets into cash under stressed market conditions, such as when 25% or 50% of investors demand redemptions simultaneously. The stress test data needs to be published monthly. Sebi mandates these tests to make sure that fund houses have enough liquidity and can meet investor redemption requests without significant price impact.

● **INVESTOR CONCENTRATION:** This data highlights how reliant a fund is on its largest investors.

● **MARKET CAP SEGMENTATION:** This data provides insights into the fund's allocation across different market capitalisations—large cap, mid cap, small cap, and cash.

Volatility Data: “This data shows the fund's and benchmark's annualised volatility (standard deviation) and beta, indicating that higher values reflect greater portfolio risk,” says Basu.

● **VALUATION DATA:** This data shows the price-to-earnings ratio of the fund and its benchmark along with the portfolio turnover ratio, helping assess whether a fund is overvalued or undervalued.

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SMART REBALANCING

As we have seen, small- and mid-cap funds tend to outperform during market rallies but often lag large-cap funds during periods of consolidation or decline—such as the current phase. Investors can use these cycles as opportunities to rebalance their portfolios, shifting selectively from mid- and small-cap or thematic funds toward large-cap allocations.

“However, it's important to remain invested across market cycles. Any rebalancing should be measured and partial, not a complete exit from these segments,” says Devalkar. Rebalancing isn't something that should be done only for a specific mutual fund category. It's about examining the overall portfolio and evaluating how each component aligns with your goals and risk tolerance.

Certain life events, such as the birth of a child, retirement, or any change that reduces your risk-taking capacity, can be natural triggers to reduce exposure to higher-risk categories.

In the end, small- and mid-cap funds are not for the faint-hearted—but those who stay the course, can be deeply rewarded. By maintaining discipline, smart diversification, and aligning investments with clear financial goals, investors can turn short-term market corrections into opportunities. **BT**